

ECON 0100 | Vignette B5 | Market Changes

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

The supply and demand curves for food before the pandemic are given in **Vignette B3**:

$$S : P_s = 2 + \frac{1}{2}Q_s \qquad D : P_d = 20 - Q_d$$

Q1 | Price Elasticity

- a) Use the midpoint method to find the elasticity of demand for food when the price changes from 8 to 12 dollars. _____
- b) Is demand elastic, unit elastic, or inelastic in a)? _____
- c) Use the midpoint method to find the elasticity of demand when the price changes from 2 to 6 dollars. _____
- d) Use the midpoint method to find the elasticity of supply when the price changes from 4 to 8 dollars. _____

Q2 | Pandemic Impact

The pandemic had two primary impacts on the food market. First, the supply chain experienced major disruptions. Second, consumers were willing to spend more on food as government programs like unemployment benefits and employee protections supported incomes and uncertainty about the future led to stockpiling.

- a) After the supply chain disruptions, the supply curve: *shifted in, stayed the same, shifted out*
- b) After the support for incomes and the stockpiling, the demand curve: *shifted in, stayed the same, shifted out*

Q3 | Both Shocks

If in addition to the supply chain disruptions, consumers were willing to spend more on food as government programs like unemployment benefits and employee protections supported incomes. Use a graph to discuss what happened to the market price and quantity after both shocks and in the absence of price controls.

$$S : P = 5 + \frac{1}{2}Q_s \qquad D : P = 23 - Q_d$$

a) Without using numbers, the price has: *increased, stayed the same, decreased, indeterminate* and the quantity has: *increased, stayed the same, decreased, indeterminate*

b) With the curves above, the new equilibrium price is _____ and quantity is _____

c) What phenomenon is this? _____